Supply

Exam code: 9BS0

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Written by: Mark Collins
Reviewed by: Steve Vorster
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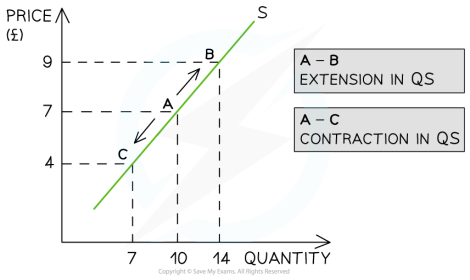
An introduction to supply

- Supply is the **number of goods/services businesses are willing to sell** at a given price in a specific time period
- There is a direct **relationship between supply and price**
  - As the **price increases**, the quantity supplied increases
  - As the **price decreases**, the quantity supplied decreases
  - At higher prices, businesses are **incentivised** to supply more of the product
  - Hence, the supply curve **slopes upwards** from left to right

A simple supply curve



A supply curve showing how a change in price will lead to a change in the quantity supplied (QS)

Diagram analysis

- An **increase** in price from £7 to £9 leads to a move **up** the supply curve, from point A to point B
  - Due to the **increase** in price, the quantity supplied (QS) has **increased** from 10 to 14 units
- A **decrease** in price from £10 to £7 leads to a movement **down** the supply curve, from point A to point C
  - **Due to the decrease in price, the QS has decreased from 10 to 7 units**

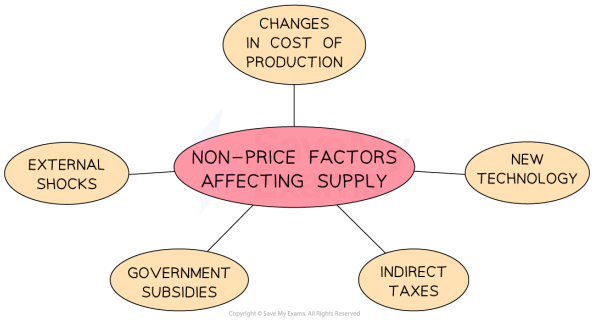
Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it

use the term **quantity supplied** .

Factors leading to a change in supply

- A change in price causes a **movement along the supply curve**
- A change in any other factor affecting supply will **shift the entire supply curve** to the left or right
  - These are called **non-price factors affecting supply**

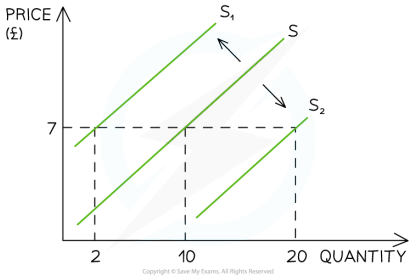
Non-price factors affecting supply



Non-price factors include changes in the costs of production, external shocks and indirect taxes

- For example, if a firm's **cost of production** increases due to an **increase in the price of a key resource**, then there will be a decrease in supply, as the firm can now only afford to produce fewer products
- This causes a **shift in supply** from S to S_1. The price remains unchanged at £7, but the **supply has decreased** from 10 to 2 units

Changes in non-price factors



A diagram showing how a change in any non-price factor of supply will shift the entire supply curve left or right

Diagram analysis

- The initial supply curve is seen at S
  - At a price of £7, 10 units are supplied
- If the **price remains constant** at £7 **but supply decreases** due to one of the non-price factors of supply (e.g.

- If the **price remains constant** at £7 **but supply increases** due to one of the non-price factors of supply (e.g. cost of production falls), the **entire supply curve** will shift to the right, from S to S_2
    - Supply has **increased** from 10 to 20 units

Non-price factors affecting supply

Non-price factor	Explanation	Examples
Change in the costs of production	• An **increase in the cost of production** makes it **more expensive to produce** each unit, so a business will be able to produce fewer units at a given price	• For a **clothing manufacturer**, an increase in energy and labour costs will increase the cost of making each item • This shifts the supply curve for **clothing** to the left
New technology	• **Advances in technology** will **lead to lower costs of production**, and businesses will be able to produce more units at a given price	• **Robots** have replaced many workers in **car factories**, increasing **productivity** • This shifts the supply curve for **cars** to the **right**
Indirect taxes	• The government increases indirect taxes on businesses, which causes an **increase in the cost of production**, as firms have to pay extra costs	• The rate of **VAT increased from 17.5% to 20%** in the UK in 2011 • This shifted the supply curves **for all businesses to the left**
Government subsidies	• A **producer subsidy** given by the government to businesses **will reduce the cost of production**	• A subsidy to the largest battery producer in the UK lowers the cost of production for **electric car manufacturers** • This has shifted the supply curve for **electric**

External shocks	• An **unexpected event** can change supply	• The **outbreak of Covid-19** caused many hotels, bars and restaurants to close down • This shifted the supply curves for **hotels**, **bars and restaurants** to the **left**

Examiner Tips and Tricks

Remember, a change in any factor that leads to less supply will shift the supply curve to the left, but a change in any factor that leads to more supply will shift the supply curve to the right.

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